

Aruna Bhargava v. PuVVNL & Another

Allahabad High Court · Single Judge · 14 March 2012 · WRIT - C No. 31602 of 2011 · **Writ petition partly allowed**
(Commissioner's order set aside; appeal remitted to the pre-2003 forum)

HEADNOTE

An appeal under Section 127 of the Electricity Act, 2003 — and its pre-deposit condition under Section 127(2) — lies only against a final order of assessment made under Section 126 of the 2003 Act. An assessment made under the pre-2003 regime (the U.P. Electricity Supply (Consumers) Regulations, 1984 or the U.P. Electricity Supply Code, 2002) is not a Section 126 order; Section 127 has no application to it, and no pre-deposit can be demanded. The right of appeal is a substantive vested right, governed by the law in force when the assessment proceedings were initiated, and is not divested by the 2003 Act, whose Section 185(2) & (5) (read with Section 6 of the General Clauses Act) preserve the earlier forum. The Commissioner therefore had no jurisdiction to reject the appeal under Section 127(2); it must be decided by the appellate forum under the earlier provisions.

HOLDING-UNITS

INTERPLAY · EA2003::127

Scope of the Section 127 appeal — confined to Section 126 orders; transitional assessments

QUESTION

Does Section 127 of the 2003 Act (and its pre-deposit condition in s.127(2)) govern an appeal against an assessment made before the 2003 Act, under the U.P. Regulations 1984 / U.P. Supply Code 2002?

HOLDING

No. Section 127(1) confines the appeal to a final order 'made under Section 126' of the 2003 Act; a pre-2003 assessment is not such an order, so neither Section 127 nor its pre-deposit condition applies. Section 185(2) & (5) (with Section 6 of the General Clauses Act) preserve the pre-2003 assessment and its appellate forum. The Commissioner's rejection under s.127(2) was without jurisdiction; the appeal is remitted to the forum under Regulations 1984 / Code 2002. ¶ 32-38

LIMITING FACTS

Assessments for excess load were made on 3.4.2002 (under Regulations 1984) and 13.12.2002 (under Code 2002); the appeal was filed in 2003 before the appellate committee (which required no pre-deposit) and only later transmitted to the Commissioner, who demanded a one-third pre-deposit under s.127(2).

FLAG Multi-regime transitional case: it construes the pre-2005 U.P. regime (Regulations 1984 and U.P. Electricity Supply Code, 2002), not the 2005 Code.

PRINCIPLE TAGS

vested-right-of-appeal-at-initiation The right of appeal is a substantive right that vests when the original (here, assessment) proceedings are initiated, governed by the law then in force, and is not taken away by a later statute unless expressly or by necessary intentment; a new pre-deposit condition cannot be imposed on such a vested appeal. Lead authorities: *Garikapati Veeraya v. N. Subbiah Choudhry* [673500], *Ramesh Singh v. Cinta Devi* [1757511], *Shiv Shakti Coop. Housing Society v. Swaraj Developers* [213017]. ¶ 17-23

change-of-forum-not-mere-procedure A change of forum is not a matter of pure procedure; once proceedings are validly initiated before a forum, that vested right continues despite a later change of jurisdiction, unless the legislature clearly provides otherwise. Lead authorities: *CIT v. R. Sharadamma* [1246791], *CIT v. Dhadi Sahu* [952427]. ¶ 21

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — CONSEQUENCES OF THE APPELLATE COMMITTEE'S LONG INACTION

The Court expressly declined to go into the effect/consequence of the appeal remaining pending with the appellate committee from 2003 to 2008; it proceeded straight to the jurisdiction question. ¶ 15

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Colonial Sugar Refining Co. Ltd. v. Irving</i> (1905) AC 369 Privy Council	The right of appeal is a substantive right that vests on the initiation of proceedings; only procedural statutes may be retrospective, not those affecting the right of appeal.	Referred as the foundational statement of the principle. ¶ 17	Court	Referred
<i>Nana bin Aba v. Skeku bin Andu</i> (1908) ILR 32 Bom 337 Bombay High Court	Followed Colonial Sugar Refining on the vested, substantive nature of the right of appeal.	Referred within the line of authority. ¶ 17	Court	Referred
<i>Delhi Cloth & General Mills Co. Ltd. v. Income Tax Commissioner, Delhi</i> ILR 9 Lahore 284 Privy Council	Only a statute dealing with procedure may have retrospective effect; a statute conferring substantive rights, including the right of appeal, does not.	Referred within the line of authority. ¶ 17	Court	Referred
<i>Indira Sohanlal v. Custodian of Evacuee Property, Delhi</i> AIR 1956 SC 77 [752151] Supreme Court	Observed that the right of appeal in a pending action may be a substantive vesting right, but left the question open.	Referred; the open question was later settled in Garikapati. ¶ 17	Court	Referred
<i>Garikapati Veeraya v. N. Subbiah Choudhry</i> AIR 1957 SC 540 [673500] Supreme Court	Leading five-principle statement: the right of appeal is a vested substantive right governed by the law at the institution of the suit/proceeding, preserved through all appellate stages, and can be taken away only by express enactment or necessary intendment.	Followed as the governing authority. ¶ 17	Court	Followed
<i>Kirpa Singh v. Ajaypal Singh</i> 1928 ILR 10 Lahore 165 (FB) Lahore High Court	Right of appeal governed by law at the date of institution of the suit, not at the date of decision or of filing the appeal.	Referred; approved in Garikapati. ¶ 17	Court	Referred
<i>Manujendra Dutt v. Purnedu Prosad Roy Chowdhury</i> AIR 1967 SC 1419 [57894] Supreme Court	Deletion of a provision (there, s.29 of the Calcutta Thika Tenancy Act) does not divest the forum of jurisdiction over proceedings validly transferred and pending before it, absent a contrary provision.	Relied on. ¶ 18	Court	Relied on
<i>Maria Cristina De Souza Sodder v. Amria Zurana Pereira Pinto</i> (1979) 1 SCC 92 [634758] Supreme Court	The right of appeal is a substantive right that vests when the lis commences and is not affected by a repeal unless the repealing enactment expressly or by necessary implication takes it away.	Relied on. ¶ 19	Court	Relied on
<i>Ramesh Singh v. Cinta Devi</i> (1996) 3 SCC 142 [1757511] Supreme Court	A vested right of appeal under the old Motor Vehicles Act is not dislodged by the new Act; the appellant may appeal without the pre-deposit required by the proviso to s.173 of the new Act.	Followed as the most apt authority. ¶ 20	Court	Followed
<i>Hoosein Kasam Dada (India) Ltd. v. State of M.P.</i> AIR 1953 SC 221 Supreme Court	Unless the new Act expressly or by necessary implication is retrospective, the right of appeal crystallises on institution and a new deposit condition cannot be imposed.	Referred (within Ramesh Singh). ¶ 20	Court	Referred
<i>State of Bombay v. Supreme General Films Exchange Ltd.</i>	To the same effect on the vested right of appeal.	Referred (within Ramesh Singh). ¶ 20	Court	Referred

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
AIR 1960 SC 980 Supreme Court				
<i>Vitthalbhai Narangbhai Patel v. CST</i> AIR 1967 SC 344 Supreme Court	To the same effect on the vested right of appeal.	Referred (within Ramesh Singh). ¶ 20	Court	Referred
<i>CIT, Bangalore v. R. Sharadamma</i> (1996) 8 SCC 388 [1246791] Supreme Court	Where an authority is validly seized of a matter on a reference, it does not lose jurisdiction on a later amendment; change of forum is not mere procedure but a vested right.	Relied on. ¶ 21	Court	Relied on
<i>CIT v. Dhadi Sahu</i> 1994 Supp (1) SCC 257 [952427] Supreme Court	A law changing the forum does not affect pending actions unless a contrary intention is clearly shown; the forum of appeal is a vested right, not pure procedure.	Referred (followed within Sharadamma). ¶ 21	Court	Referred
<i>Shiv Shakti Coop. Housing Society, Nagpur v. Swaraj Developers</i> (2003) 6 SCC 659 [213017] Supreme Court	An appeal is a continuation of the original proceedings; the right of appeal is statutory and, once conferred, a vested substantive right, distinct from the inherent right to sue.	Relied on. ¶ 22	Court	Relied on

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.